

Multiple Choice

1. **Answer:** A

Options: A) the real quantity of money increases; B) imports become relatively more expensive; C) the value of cash increases; D) exports become relatively cheaper; E) inflation rate decreases

Note: Correct option: A - the real quantity of money increases

2. **Answer:** A

Options: A) 1 and 0.5; B) 2 and 0.5; C) -1 and -0.5; D) -1 and 2; E) 3 and -2

Note: Correct option: A - 1 and 0.5

3. **Answer:** A

Options: A) Chicago school, Stiglitz; B) Marxist school, Minsky; C) Behavioral school, Akerlof; D) Neoclassical school, Friedman; E) Neoclassical school, Coase

Note: Correct option: A - Chicago school, Stiglitz

4. **Answer:** D

Options: A) a decrease in the money supply.; B) an increase in consumer confidence.; C) a sudden surge in technological innovation.; D) a prolonged period of very bad weather.; E) a decrease in consumer confidence.

Note: Correct option: D - a prolonged period of very bad weather.

5. **Answer:** A

Options: A) The current value of y ; B) The median value of y over the in-sample period; C) The minimum value of y over the in-sample period; D) The value of y two periods back; E) One

Note: Correct option: A - The current value of y

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '\$1.5 billion'.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'not counted in GDP'.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'A rightward shift in the aggregate demand curve'.

Long Form Response

11. **Answer:** Decrease capital and increase labor so that the marginal product of capital falls and the marginal product of labor rises.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** An increase in the price level.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key